

The Management

The single most important factor one should consider when investing in a company, and one often never considered, is its management. It is upon the quality, competence and vision of the management that the future of a company rests. A good, competent management can make a company grow while a weak, inefficient management can destroy a thriving company. Corporate history is riddled with examples. Chrysler was an ailing giant, in the early eighties. Iacocca turned the company round with tough competent management. In the first quarter of 1993, the big blue — IBM — dismissed its Chief Executive Officer Akers who was blamed for the company's dismal performance. Lou Gerstner who was at one time President of American Express and later took charge of R. J. R. Nabisco was invited to become the Chief Executive Officer of IBM. Mr. Gerstner had earlier been successful in reducing quite drastically and very impressively the liabilities that had arisen on account of the leveraged buy out of R. J. R. Nabisco. It was this success that was instrumental in his getting the top job at IBM. Similarly, the main reason attributed for the collapse in the seventies of Penn Central, the largest railway in the United States, was that it was headed by Stuart Saunders who was a lawyer and possessed little understanding of what was involved in running a large railway network. Indian corporate history also has many such examples. Metal Box was a name known and respected, the bluest of blue chips. After a series of occurrences including a diversification that went wrong, the company was forced to close all its factories. Killick Nixon was one of the most respected names in Western India. No longer. On the other hand, there are numerous success stories, of prosperity that resulted due to the foresight and vision of management. Haksar diversified ITC into hotels (the Welcomgroup chain); his successor diversified into agro based industries. These have been successes. The success of Videocon could probably be attributed to Venugopal Dhoot, Bajaj Auto's growth and profitability is due to Rahul Bajaj, and the Reliance Empire due entirely to one man, Dhirubhai Ambani. There are several others such as Azim Premji and Wipro, Narayanamurthy and Infosys and HDFC and Deepak Parekh.

In India, management can be broadly divided into two types: